Research Evolution

> **Saved July 31, 2026 assessment: watch/defer.**
> Low / base / high: $78.52 / $119.60 / $181.30; dated close: $308.91.
> $125.23 is the separate retrospective base, not this dated valuation.

Checkpoint uncertainty and source provenance

The complete supplied Edition A follows, with its wording and numbers unchanged. It is rendered from ../Project 1 Edition A copy.md. Its SHA-256 matches the original handoff inventory: 4852fb37285810860c121df72279b140d05c5a68dfa1d660401e66f08f6aa657. The copy in Codex files has the same hash; the protected existing_work copy was unavailable through OneDrive during export. A matching hash is not proof of historical authorship, timing, a submitted checkpoint or a receipt.

The original checkpoint PDF, first successful Brightspace receipt/time, pre-AI boundary and any approved recovery remain unverified. This package does not invent or authenticate them.

Conflicting figures are preserved, not silently replaced

Edition A uses a September 1, 2026 reference price of $325.13 and a different date. Those historical claims remain in the unchanged record and are not July 31 evidence. The required dated result is $78.52/$119.60/$181.30 at a $308.91 close. The retrospective base is $125.23. An earlier illustrative dated base of $130.32 was superseded after the risk-free assumption changed; it is retained only as research history. Historical $127.62 FCFE and $224 proxy figures are different methods, not a consistent range.

Complete unchanged original Edition A

Project 1 - Edition A: Apple Inc. (AAPL)

Decision and user

This analysis supports the fund's investment committee in deciding whether to initiate a position in Apple Inc. The initial recommendation is **watch-defer**: do not initiate at the valuation date, but continue research and establish conditions that could justify entry.

Company and valuation date

- **Company:** Apple Inc. (Nasdaq: AAPL)
- **Valuation date:** September 1, 2026
- **Reference market price:** $325.13 per share
- **Reference market capitalization:** approximately $4.784 trillion
- **Reference trailing P/E:** approximately 37.3x

Market data are a point-in-time reference from the finance quote retrieved on September 1, 2026. The fundamental evidence below comes from Apple's FY2025 Form 10-K, filed October 31, 2025.

Initial thesis: watch-defer

Apple is an exceptional company with a large installed base, a growing Services business, strong operating profitability, and substantial cash generation. However, the reference valuation embeds demanding expectations: a roughly 37.3x trailing P/E leaves limited room for slower hardware growth, margin pressure, regulatory changes to Services economics, or weaker returns from artificial-intelligence investment. The current evidence is sufficient to keep Apple under active coverage, but not sufficient to establish an attractive forward return with a defensible margin of safety.

The thesis could move to **initiate** if research shows durable high-single-digit or better earnings growth, resilient Services economics, and a credible path to acceptable returns at the purchase price. It could move to **do not initiate** if installed-base monetization weakens, hardware replacement cycles lengthen structurally, margins deteriorate, or valuation support depends mainly on multiple persistence or expansion.

Known evidence and sources

- Apple reported FY2025 net sales of **$416.161 billion**, up 6% from $391.035 billion in FY2024. Products contributed $307.003 billion and Services contributed $109.158 billion.
- FY2025 operating income was **$133.050 billion**, net income was **$112.010 billion**, and diluted EPS was **$7.46**.
- Weighted-average diluted shares were **15.005 billion**, down from 15.408 billion in FY2024, evidencing continued per-share support from repurchases.

- At September 27, 2025, Apple held **$35.934 billion** of cash and cash equivalents and **$96.486 billion** of marketable securities.

- Carrying debt was **$98.657 billion**, comprising $7.979 billion of commercial paper and $90.678 billion of term debt.

- Services generated **$109.158 billion** of FY2025 revenue, up from $96.169 billion in FY2024, while Products revenue rose to $307.003 billion from $294.866 billion.

- Apple repurchased **402 million shares for $89.3 billion** during FY2025.

- The reference price of $325.13, market capitalization of approximately $4.784 trillion, and trailing P/E of approximately 37.3x were retrieved for the September 1, 2026 valuation date.

Sources:

1. Apple FY2025 Form 10-K (./AAPL%2010k%20FY-25.pdf), especially the Consolidated Statements of Operations (PDF p. 40), Consolidated Balance Sheets (PDF p. 42), Note 3 - Earnings Per Share (PDF p. 48), and Note 9 - Debt (PDF pp. 58-59).

2. SEC filing record, accession 0000320193-25-000079 (https://www.sec.gov/Archives/edgar/data/320193/0000320193-25-000079-index.htm).

3. Point-in-time AAPL finance quote retrieved September 1, 2026.

Consequential assumptions

- Services can continue growing faster than Products without a material reduction in its economics from regulation, platform-policy changes, or mix.

- Apple's installed base remains loyal and monetizable even if device replacement cycles lengthen.

- Gross and operating margins remain broadly resilient despite tariffs, component costs, competitive investment, and product mix.

- Repurchases continue to create per-share value rather than merely offset dilution or destroy value at an excessive valuation.

- Apple's artificial-intelligence spending and product strategy produce either incremental revenue, stronger retention, or operating efficiencies.

- The market will continue assigning Apple a premium multiple if earnings growth and return on capital remain superior; the investment case does not require further multiple expansion.

- Cash and marketable securities in excess of operating needs are economically available to capital providers, subject to tax, liquidity, and management-allocation constraints.

Unknowns

- The sustainable organic growth rate and incremental margin of Services by major revenue source.

- The size, engagement, replacement behavior, and geographic economics of the current installed base.

- The earnings and cash-flow effect of AI-related capital expenditure and operating expense.

- The impact of App Store, search-distribution, and other regulatory or legal outcomes on Services revenue and margins.

- The durability of iPhone demand and pricing, especially in Greater China.

- The normalized tariff, supply-chain, foreign-exchange, and component-cost burden.

- FY2026 free cash flow, net cash, diluted share count, and forward earnings power at the valuation date.

- Management's hurdle rate and likely pace for repurchases at the current share price.

- The downside valuation multiple and earnings level under a credible bear case.

Research plan

1. Update the financial model through the latest available FY2026 quarterly filing, separating Products and Services growth and margins where evidence permits.

2. Build base, bull, and bear cases for revenue, operating margin, diluted shares, free cash flow, and EPS over five years.

3. Reconcile market capitalization to enterprise value using current diluted shares, debt, cash, marketable securities, and other non-operating claims or assets.

4. Value Apple with a discounted cash-flow model and cross-check it against forward P/E, EV/EBIT, and free-cash-flow yield.

5. Test Services exposure to App Store remedies, search-distribution changes, geographic mix, and lower-margin service categories.

6. Assess installed-base health using company disclosures, third-party device and usage data, replacement-cycle evidence, and customer retention indicators.

7. Evaluate China demand, supply-chain concentration, tariffs, foreign exchange, and competitive product risk.

8. Review capital allocation by measuring historical repurchase prices and share-count reduction against intrinsic-value estimates.

9. Define explicit initiation conditions, including a required expected return, downside tolerance, and margin of safety; identify evidence that would close or permanently reject the idea.

Partner-generated falsification question

> What evidence would demonstrate that Apple's installed-base monetization and Services growth cannot offset structurally slower hardware growth and margin pressure enough to justify the valuation at the investment date?

This question was generated by a partner. The partner did not write or supply an answer.

Correction addendum

The original record is not rewritten. Follow-up corrections identify FY2025 revenue on printed page 29 of the consolidated statements of operations and treat zero modeled revolver as an analyst assumption, not a reported filing fact. Selected model inputs now define the baseline consistently for cases, comparisons, sensitivities and restoration. The chosen minimum operating cash reserve affects surplus assets.

The dated extension uses June 27 reported balances, a forecast Q4 and an explicitly estimated July 31 bridge. It excludes elapsed cash flow and values the remaining FY2026 stub plus five full years FY2027-2031. It is distinct from the retrospective annual-base model. Estimates, peer and claim limitations remain disclosed; no historical human review is established.

Edition B and comparison

Research Evolution — follow-up Edition B

Unchanged Edition A and unverified receipt

Original supplied work remains in existing_work/research/. Original checkpoint PDF, first successful receipt/time and pre-AI boundary proof remain unverified. Neither this refresh nor a current hash establishes historical authorship or an AI-closed run. Earlier EditionB documents/results are preserved in archive/retrospective_v1/.

Correction and evidence evolution

Issue	Earlier project	Follow-up result	Reason/evidence
Date	FY25 annual-base illustration using later evidence	July31,2026 dated end-of-day assessment	June27reported balances; July30release/July31filing; explicit estimated bridge and elapsed-flow exclusion
Anchor	FY25 balance sheet	June27,2026 actual opening; July31 balances estimated	New source rows and bridge_reported_vs_estimated .csv
Forecast	FY2026–2030	RemainingFY26stub plus five full yearsFY2027–2031	New first-period handling reuses existing statement engine
Required value	Retrospective72.74/125.23/172.33	Dated78.52/119.60/181.30	Different date, flows, reported claims, shares and WACC; not a mere relabel
WACC	Illustrative9.867%	10.6055%	Primary prior-day DGS10 plus stated risk assumptions and gross-debt market weight
Peers	Annual periods/share dates lagged	June-endingTTM MSFT21.998x EV/EBIT,25.806x common equity/NI	PublicJuly29release and commonJuly31close; one admitted peer only
Core bugs	inputs changed displayedbase but not sensitivity baseline; fixed cash reserve in bridge	All selected-baseline comparisons agree; selected reserve affects surplus	Regression tests
Conclusion	Watch/defer because current valuation unfinished	Do not initiate at dated308.91 under model; keepwatch	Both DCFscenarios and MSFTdiagnostics below reference; assumptions not proof of mispricing

The initial operational refresh used illustrative4% Rf and produced130.32base. It was superseded after primary Treasury observation4.68% was retrieved, producing119.60; the initial number is not the final result. Historical retrospective125.23 remains unchanged. Supplied partner falsification/loyalty questions remain credited only as historical records; no new partner exchanges invented. Current code, source work and prose are AI-assisted

proposals requiring independent student review. Expanded peer range and detailed claims/normalization remain uncompleted, not solved by disclosure.

Final packaging stopped further research. Both engines were rerun successfully with unchanged values. Final suite: 31 passed, one preservation skip out of 32; the prior binary-float assertion failure is preserved and its test-only correction documented in validation-and-ai-use.md. No new human review or historical evidence was supplied.